

The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

Donald Trump and **Xi Jinping** came face-to-face at a [summit](#) in Beijing. In his opening remarks Mr Trump paid his respects to the Chinese president and said that the relationship between America and China “is going to be better than ever before”. Mr Xi said the countries must escape the Thucydides Trap—the idea that an emerging power is destined for war with an established one. But behind closed doors Mr Xi warned that any mishandling of [Taiwan](#) could plunge the relationship into “great jeopardy”, according to Chinese state media.

America’s Senate confirmed **Kevin Warsh** as chairman of the **Federal Reserve**. The 54-45 vote was the closest since Senate approval became a requirement in 1977. Only one Democrat backed [Mr Warsh](#). Now he must deal with rising inflation: figures released on Wednesday showed the producer-price index, a measure of wholesale inflation, climbed by 6% in the 12 months to April—the biggest increase since December 2022.

Russia conducted a massive air attack on **Ukraine**, days after a ceasefire between the countries ended. Volodymyr Zelensky, Ukraine’s president, said that Russia launched 800 drones, including at Kyiv, the capital, and Zakarpattia, a western region

that borders Slovakia, a member of NATO. Russia, meanwhile, said that Ukraine had struck three of its industrial facilities.

Angela Rayner said she had been cleared of wrongdoing over her tax affairs. She resigned as **Sir Keir Starmer's** deputy prime minister in September after being accused of deliberately underpaying stamp duty. After revealing she was in the clear, she became the bookies' favourite to [oust](#) Sir Keir as Labour leader and become Britain's prime minister. Earlier the prime minister warned of "chaos" if a leadership challenge were launched.

Cerebras Systems, an [AI-chipmaker](#), raised \$5.5bn in an initial public offering, valuing the company at around \$40bn. The firm priced shares at \$185, well above its initial range of \$115-125, due to strong investor demand; it also increased the number of shares from 28m to 30m. The listing was America's largest of the year, underscoring investors' appetite for AI firms.

Cuba has run out of diesel and fuel oil, its energy minister said, as America's [blockade](#) continues. Havana, the capital, has suffered blackouts lasting up to 22 hours a day. In January Mr Trump signed an executive order threatening tariffs on countries that ship oil to the island. "Cuba is open to anyone that wants to sell us fuel," the minister said.

The **Vatican** threatened to excommunicate the Priestly Fraternity of Saint Pius X, a rebel Catholic group. The anti-modernist society, set up in 1970, opposes many recent Catholic doctrines and is wedded to the Latin mass. It also plans to ordain priests without papal approval. The Vatican called that "a schismatic act". If carried out, it would be the first known excommunication under [Pope Leo XIV](#).

Figure of the day: 25%, the rough proportion of Swedish students who struggle to read properly, according to the country's higher-

education minister. [Read why](#) schools in Sweden are going unplugged.



Photograph: Getty Images

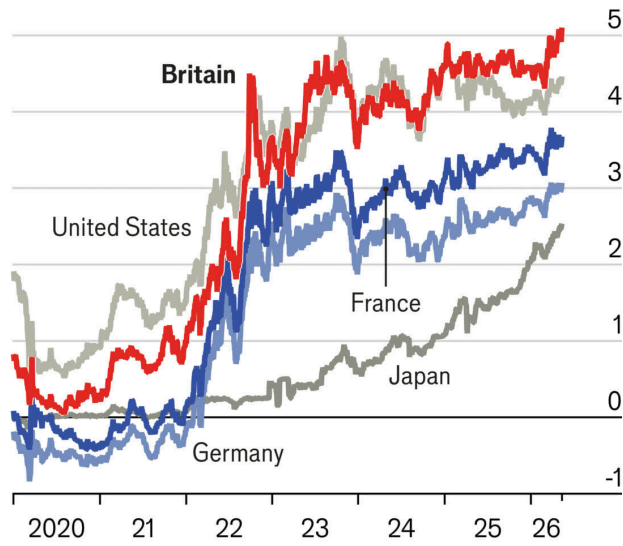
Britain's bond market bites back

Since the Iran war began yields on ten-year gilts, as British government bonds are called, have leapt from 4.2% to just over 5%. Rising energy prices are pushing up inflation—and therefore borrowing costs—everywhere. Britain is unusually vulnerable, however. It imports large amounts of energy and struggled to tame high inflation even before the crisis. Poor fiscal choices by recent governments have also led investors to demand greater compensation for holding what they see as riskier debt.

Political turmoil [continues to keep borrowing costs high](#). The prime minister, Sir Keir Starmer, is a lame duck. Wes Streeting, the health secretary, is planning a leadership challenge. Some of the prime minister's other rivals have sought to dismiss the bond market, but the danger is not abstract. If current yields were pencilled into forecasts at the next budget, debt-servicing costs in 2029-30 would be roughly £7bn (\$9.5bn) more than thought in March. That is equivalent to an extra penny in every pound on income tax.

Gilty displeasure

Ten-year government-bond yields, %



Source: LSEG Workspace



Photograph: Alamy

Donald Trump visits Xi Jinping

On Wednesday the leaders concluded two-hours of talks in Beijing. Details of the discussion have yet to be released, but Mr Trump wants [trade to be top of the agenda](#), and hopes to secure commitments from China to buy more American beef, beans and Boeing aircraft. Each side is uneasy about export controls imposed by the other. America wants China to keep critical minerals flowing, meanwhile China wants greater access to advanced American computer chips. The two powers may also agree to a rare co-operative effort to tackle risks posed by increasingly powerful AI models.

Geopolitics also presents challenges. America recently imposed sanctions on Chinese oil refiners and satellite firms for doing business with Iran. But [Taiwan](#) looms largest. Mr Xi has been pressing America to say that it “opposes” Taiwanese independence, alarming officials on the island. These talks are not expected to result in a major change to America’s policy, but with three more meetings between the leaders planned this year, the temptation for Mr Trump to make concessions may grow.



Illustration: David Simonds

India plays anxious host to the BRICS

Over the next two days India will hold what promises to be a contentious BRICS meeting. Subrahmanyam Jaishankar is hosting fellow foreign ministers from the bloc of rising non-Western economies, including Russia's Sergei Lavrov and Iran's Abbas Araghchi.

India aspires to be a bridge between the West and the rest. In convening the group, it had hoped to signal its solidarity with the “global south” even as it nurtures closer ties with America and Europe. But in fact the gathering has become a diplomatic headache.

With Iran and the United Arab Emirates attending—both of whom have joined the bloc since 2024—India is likely to be drawn into debates about [the war in the Middle East](#), which it would rather avoid. Indeed, while the BRICS gathering was meant to boost the clout of countries like India, a simultaneous meeting between Donald Trump and Xi Jinping in Beijing will only highlight how middle-ranking powers are still at the mercy of the world's two greatest.



Photograph: eyevine

Squabbling over stablecoins

America's Senate Banking Committee will mull over proposed crypto-market rules on Thursday. Bankers and crypto firms have clashed over parts of the Clarity Act, particularly those relating to [stablecoins](#), cryptocurrencies pegged to the dollar.

Last year's Genius Act set the rules for American stablecoins, but the two sides disagree over a loophole which allows crypto exchanges to pass on returns, or "yields", to holders. Banks fear this will lure savers who would otherwise deposit cash with them. The new bill tightens the ways in which exchanges can pass on yields and increases mandatory checks on customers.

Wall Street is still not satisfied. The American Bankers Association, a trade group, says the rules are not strong enough. Members of the banking committee have proposed more than 100 amendments which could be discussed at the hearing before the bill advances to the Senate floor. True clarity may be some way off.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Which famous physicist produced some of his most important work while employed at the Swiss patent office?

Wednesday: The departure of which baseball player in 1920 is supposed to have resulted in a long-lasting curse on the Boston Red Sox?

*The beautiful thing about learning
is nobody can take it away from
you.*

B.B. King